



“Building a business working with start-ups takes 12 to 15 years, since start-up outcomes take 8 to 12 years. What is needed is patient capital for the business model to play out”

Sumir Chadha

CO-FOUNDER AND MANAGING PARTNER, WESTBRIDGE CAPITAL



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PARTNER,
ACCEL

For instance, Google for Start-ups is helping start-ups focus on key business and technical challenges and reduce the time-to-market and success of the product, says Paul Ravindranath, Head of Google Accelerator at Google India. “Our mission is to provide young start-ups with information and lessons acquired from Google’s two decades of creating corporate and consumer products,” he says.

JUST AS THE expectations from accelerators have grown, investor interest in early-stage start-ups has intensified, too. A tangible outcome of this is the arrival of large late-stage funds into the early-stage market with dedicated funds. For instance, Sequoia Capital launched an early-stage fund called Surge in 2019 that combines up to \$3 million of seed capital with company-building workshops, global immersion trips and support from the founder community. Accel’s early-stage programme, Atoms, offers 100 days of learning and development workshops, setting objectives and key results, building a peer community, dedicated mentorship and an uncapped convertible—financing where the investments translate into equity during the next round—investment of \$250,000.

Prayank Swaroop, Partner at Accel, says early-stage start-ups need easier access to funding without giving up equity. “They need mentorship on how to build a company, and a community to learn from,” he says. Launched in August 2021, Atoms has invested in 23 start-ups across its two cohorts, which have collectively raised \$80 million till now while Sequoia’s Surge has invested in over 127 start-ups and helped them raise over \$1.7 billion till now.

Upekha’s Prasanna says it is critical that accelerators find long-term investors who understand that one needs to be patient while investing in start-ups and accelerators. Upekha’s lead investor, West-

Bridge, invests out of an evergreen fund with a life cycle of 20 years that can be extended by 10 years or more, while most VC funds have a life cycle of 10 years. Sumir Chadha, Co-founder and Managing Partner of WestBridge Capital, says that since it takes 8 to 12 years for start-ups to give outcomes, building a business working with them could take between 12 and 15 years. “What is needed is patient capital to allow the business model to play out,” he says.

The success of an accelerator programme also depends on the strength of its mentor pool. As mentorship opportunities are compensated through equity, accelerators with a good track record of exits and follow-on funding attract the best mentors. And a good mentor pool attracts the best start-ups. But in the early stages, start-ups are not very sure about the value an accelerator programme brings to the table, says Apoorv Sharma, former lead of market strategy for South Asia at 500 Global. “It is imperative to have a structured ecosystem where mentors and programme managers have global exposure. Today, start-ups have a global vision from day one. Therefore, mentors should be able to guide start-ups with a global outlook,” he says.

The evolving nature of accelerators is only natural for an industry that is still growing. Just as the start-ups are evolving, accelerators are also transforming to find a sustainable balance. VCs have existed in the US for about three-four decades before the first large, meaningful accelerator came up there, says CIIE’s Menon, adding, if accelerators can figure out a way to create a sustainable model, they will see relatively quicker exits and faster turnarounds for their investments. “We will get there over time and our accelerators will be able to attract start-ups without the adverse selection problem,” adds Menon. **BT**

@binu_t_paul